RDDT - Reddit | Full investment artifact

Full investment research | Model assumptions and source evidence

Research date: 18 September 2026 | **Framework:** 8.0; valuation synchronized 15 October 2026 | **Format:** standalone current-state analysis **Status:** Full quarterly GAAP model; owner-authorized 25x valuation | **Classification:** ENABLER - human discussion, performance advertising and licensed data **Artifact Base:** 40/60 = **67% - Watchlist** | **Protected portfolio Base:** 67% (current master value retained; separate from artifact assessment) **Snapshot:** supplied-workbook price USD 161.700; model share proxy 207.000000M; implied snapshot market capitalization 33,471.900 USD millions. Price is frozen from the supplied workbook, not a current-market refresh; capitalization uses the modeled denominator. **Active ceiling:** Q4 2027 **USD 234.266090**, pricing Q4 2027-Q3 2028. All 15 quarterly ceilings are derived below.

The advertising opportunity remains substantial and Max has moved beyond beta. The model corrects the operating-profit bridge and stops assuming automatic share-count shrinkage. Updated artifact assessment is separate from the protected portfolio Base.

1. Supercycle, supply chain and durable advantage

Reddit converts a large archive and continuing flow of human discussion into advertising inventory and licensed information. Community depth, contextual purchase intent and accumulated conversation are difficult to reproduce quickly. The economic opportunity is primarily better advertising outcomes and more frequent use, with data licensing as a smaller additional business. Distribution through search and the willingness of users to contribute remain essential dependencies.

Users and moderators create communities and conversation; Reddit supplies discovery, ranking, safety and advertising tools; advertisers pay for measurable outcomes. Licensed partners pay for permitted access to data. Cloud providers supply infrastructure but their capital expenditure is not Reddit revenue. Advertiser procurement and measured campaign conversion are the relevant customer-demand checks.

Business / curve	Stage	Evidence and next inflection
Core discussion	Scaled, still increasing frequency	Weekly reach is much larger than daily use; conversion is the key lever.
Performance advertising	Scaling, qualitative 25-50% band	More automation and broader advertiser access increase monetization.
Licensed AI data	Early commercial, qualitative 10-25% band	Existing contracts validate demand; renewal economics remain undisclosed.

Stage percentages are qualitative framework bands relative to a possible mature opportunity, not measured market penetration. A current capacity constraint can coexist with a larger long-term TAM; qualification and economic capture decide how much reaches this company.

2. Forward TAM and the three-phase expansion lens

Phase	Engineering opportunity	Demand-to-company bridge
2026-27 / 100% thematic weight	More advertiser outcomes from current users	4,260M advertising sales in 2027 versus Q2 2026 annualized 3,046.5M, with Max and advertiser breadth driving capture.
2028-29 / 50% thematic weight	Search, international and app monetization	Modeled ads reach 6,800M in 2029; higher frequency and effective pricing are both required.
2030+ / 20% thematic weight	Human discussion and licensed information across interfaces	8,800M total revenue in 2030 includes 600M other; a conditional scenario, not management guidance.

The 100% / 50% / 20% thematic weights guide thesis assessment. They are not blanket discounts to reported sales, contracts or all forecasts. Programme probabilities below govern only separately identified optionality. Current reported sales calibrate the starting point; they do not cap the future market.

3. Current earnings and management evidence

Q2 2026 revenue was 804.905M: advertising 761.625M and other 43.280M. Cost of revenue was 70.308M; R&D 231.276M, sales/marketing 195.897M and administration 75.708M imply GP 734.597M and GAAP OP 231.716M. Adjusted EBITDA 342.810M less SBC/related taxes 106.836M and depreciation/amortization 4.258M reconciles exactly to OP. Q1 revenue was 663.411M and OP 182.912M. [S1/S2]

Read both complete displayed calls, April 30 and July 30, through closing remarks. Q1 emphasized onboarding, advertiser automation and broader sales coverage. Q2 confirmed continued advertiser expansion but more volatile search referrals, a need for better retention and higher stock compensation. The Q3 outlook is 860-870M revenue, 385-395M adjusted EBITDA and 140-155M SBC/related taxes. At the midpoints and modeled D&A of 5M, GAAP OP is 237.5M. The later September 3 Max launch converts beta availability into general availability, but discloses no incremental revenue guarantee. [S3-S5]

Both recent earnings-call texts were reviewed through their closing sections; transcription labels can be imperfect, so issuer financials take precedence. Product-level revenue/margins, future licence renewals and detailed advertiser commitments are not disclosed. These remain explicit LOW-confidence model assumptions.

4. Local evidence and calibration packet

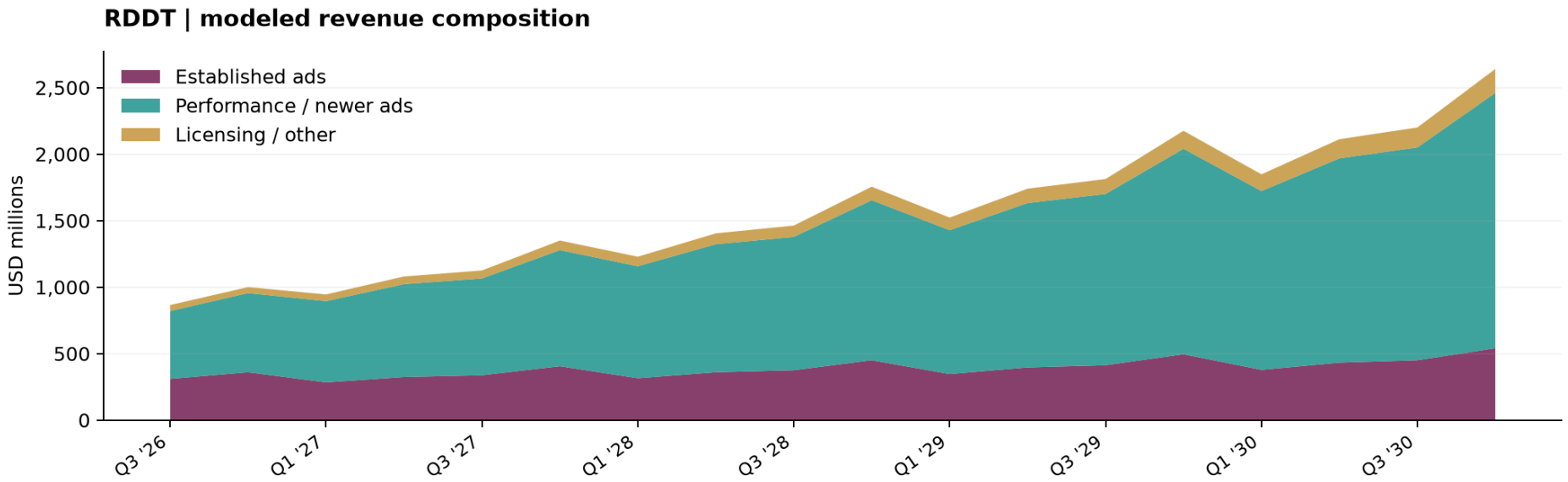
Q2 global daily and weekly users were 130.3M and 514.6M; global quarterly ARPU was $6.18. Geography in the financial revenue note is customer billing location, whereas advertising ARPU uses delivered impressions. Do not divide billing-based US revenue by user-based ARPU to infer US users. The AH12 procurement substitute is advertiser growth and measured conversion performance, not hyperscaler capex. September Max test outcomes are vendor-reported and based on a limited test set, not guaranteed incremental spending. [S1/S2/S5]

5. Summing thesis score

Category	Points / maximum	Evidence
Core Thesis	15/20	Differentiated discussion and contextual intent; distribution remains partly external.
Cycle Stage	8/10	Current ad growth is strong but user growth and retention constrain the next phase.
TAM Expansion	8/10	Performance formats, international monetization and licensed data expand capture.
Catalysts	4/5	September Max availability is verified; licensing renewal terms are not.
Macro	7/10	Advertising can reallocate quickly when customer returns weaken.
Alpha	3/5	GAAP cost and fully diluted share reconciliation change the apparent earnings base.
Risks	-5	Five independent risk classes.

Sum: 40/60 × 100 = 66.666667%, conventionally rounded to 67%. This advisory thesis score does not replace any portfolio Base override. The separate risk classes below total the displayed deduction; holding status and classification do not waive that deduction.

6. Revenue sources, capture and product margins



RDDT | modeled revenue composition. All periods are unchanged model forecasts; USD millions unless labeled. Source: the saved RDDT quarterly model and numeric tables directly below. Product splits and outer-year capture remain assumptions, not issuer guidance.

Quarter	Established ads	Performance / newer ads	Licensing / other	Total revenue
Q3 2026	310.000	510.000	45.000	865.000
Q4 2026	360.000	595.000	45.000	1,000.000
Q1 2027	283.500	611.100	50.400	945.000
Q2 2027	324.000	698.400	57.600	1,080.000
Q3 2027	337.500	727.500	60.000	1,125.000
Q4 2027	405.000	873.000	72.000	1,350.000
Q1 2028	315.000	842.100	71.400	1,228.500
Q2 2028	360.000	962.400	81.600	1,404.000
Q3 2028	375.000	1,002.500	85.000	1,462.500
Q4 2028	450.000	1,203.000	102.000	1,755.000

Quarter	Established ads	Performance / newer ads	Licensing / other	Total revenue
Q1 2029	346.500	1,081.500	94.500	1,522.500
Q2 2029	396.000	1,236.000	108.000	1,740.000
Q3 2029	412.500	1,287.500	112.500	1,812.500
Q4 2029	495.000	1,545.000	135.000	2,175.000
Q1 2030	378.000	1,344.000	126.000	1,848.000
Q2 2030	432.000	1,536.000	144.000	2,112.000
Q3 2030	450.000	1,600.000	150.000	2,200.000
Q4 2030	540.000	1,920.000	180.000	2,640.000

Advertising is partitioned into established formats and performance/newer formats using a 40/60 Q2 allocation. Management said performance-oriented ads exceeded 60% in Q1; the exact Q2 split is not disclosed, so this allocation is a conservative modeling convention. Every advertising dollar appears once. Licensing remains inside other revenue; do not add all other revenue again as an AI licence stream. Format growth is linked to advertiser adoption, outcomes and repeat user activity, not to an assumed billion users by 2030.

Vector	Actual calibration / source	Forward demand and capture	Margin derivation / constraint
Established advertising	304.650M estimated Q2 allocation	H2 310/360M; annual 1,350/1,500/1,650/1,800M in 2027-30. Mature formats grow more slowly.	91% modeled GM, near the consolidated historical platform margin.
Performance/newer ads	456.975M estimated Q2 allocation	H2 510/595M; annual 2,910/4,010/5,150/6,400M. Max, shopping and app campaigns remain inside this vector.	91.5% modeled GM; higher inference and serving cost can offset scale.
Other revenue	43.280M reported Q2	H2 45/45M; annual 240/340/450/600M. Growth assumes renewals and some additional commercialization, not a disclosed contract value.	95% modeled contribution; overhead and engineering remain in operating costs.

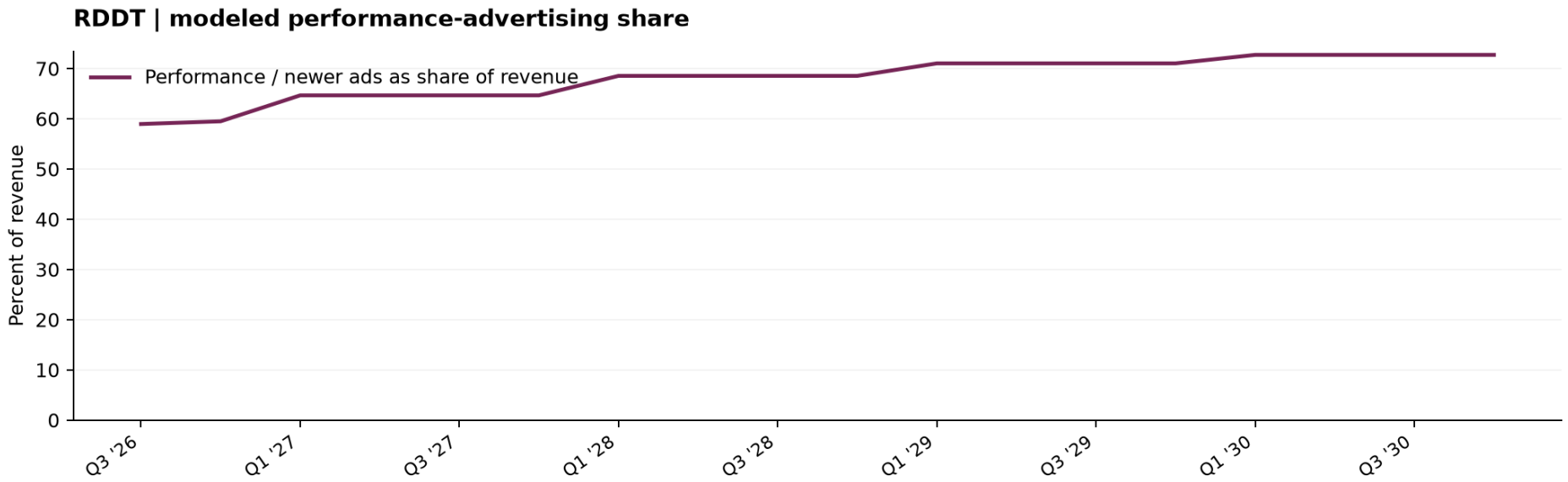
Confidence: reported historical totals are HIGH. Source-based forward extrapolations are MEDIUM only where the cited source sizes the relevant period; other product allocations, future capture and margin assumptions are LOW. A source for the historical anchor does not make an unsourced future factor management guidance. The detailed factors below are the single modeled base case, with uncertain assumptions exposed for review.

V1. Established advertising formats

Sources: S1/S2 total ads; S3/S4 format commentary. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	304.650000	1.017561	310.000	91.000%	282.100
Q4 2026	304.650000	1.181684	360.000	91.000%	327.600
Q1 2027	304.650000	0.930576	283.500	91.000%	257.985
Q2 2027	304.650000	1.063516	324.000	91.000%	294.840
Q3 2027	304.650000	1.107829	337.500	91.000%	307.125
Q4 2027	304.650000	1.329394	405.000	91.000%	368.550
Q1 2028	304.650000	1.033973	315.000	91.000%	286.650
Q2 2028	304.650000	1.181684	360.000	91.000%	327.600
Q3 2028	304.650000	1.230921	375.000	91.000%	341.250
Q4 2028	304.650000	1.477105	450.000	91.000%	409.500
Q1 2029	304.650000	1.137371	346.500	91.000%	315.315
Q2 2029	304.650000	1.299852	396.000	91.000%	360.360
Q3 2029	304.650000	1.354013	412.500	91.000%	375.375
Q4 2029	304.650000	1.624815	495.000	91.000%	450.450
Q1 2030	304.650000	1.240768	378.000	91.000%	343.980
Q2 2030	304.650000	1.418021	432.000	91.000%	393.120
Q3 2030	304.650000	1.477105	450.000	91.000%	409.500
Q4 2030	304.650000	1.772526	540.000	91.000%	491.400

V2. Performance and newer advertising formats



RDDT | modeled performance-advertising share. All periods are unchanged model forecasts; USD millions unless labeled. Source: the saved RDDT quarterly model and numeric tables directly below. Product splits and outer-year capture remain assumptions, not issuer guidance.

Quarter	Performance / newer ads, USD M	Total revenue, USD M	Performance share
Q3 2026	510.000	865.000	58.960%
Q4 2026	595.000	1,000.000	59.500%
Q1 2027	611.100	945.000	64.667%
Q2 2027	698.400	1,080.000	64.667%
Q3 2027	727.500	1,125.000	64.667%
Q4 2027	873.000	1,350.000	64.667%
Q1 2028	842.100	1,228.500	68.547%
Q2 2028	962.400	1,404.000	68.547%
Q3 2028	1,002.500	1,462.500	68.547%
Q4 2028	1,203.000	1,755.000	68.547%

Quarter	Performance / newer ads, USD M	Total revenue, USD M	Performance share
Q1 2029	1,081.500	1,522.500	71.034%
Q2 2029	1,236.000	1,740.000	71.034%
Q3 2029	1,287.500	1,812.500	71.034%
Q4 2029	1,545.000	2,175.000	71.034%
Q1 2030	1,344.000	1,848.000	72.727%
Q2 2030	1,536.000	2,112.000	72.727%
Q3 2030	1,600.000	2,200.000	72.727%
Q4 2030	1,920.000	2,640.000	72.727%

Sources: S3/S4 performance share and adoption; S5 broader availability. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	456.975000	1.116035	510.000	91.500%	466.650
Q4 2026	456.975000	1.302041	595.000	91.500%	544.425
Q1 2027	456.975000	1.337272	611.100	91.500%	559.157
Q2 2027	456.975000	1.528311	698.400	91.500%	639.036
Q3 2027	456.975000	1.591991	727.500	91.500%	665.663
Q4 2027	456.975000	1.910389	873.000	91.500%	798.795
Q1 2028	456.975000	1.842770	842.100	91.500%	770.522
Q2 2028	456.975000	2.106023	962.400	91.500%	880.596
Q3 2028	456.975000	2.193774	1,002.500	91.500%	917.288
Q4 2028	456.975000	2.632529	1,203.000	91.500%	1,100.745
Q1 2029	456.975000	2.366650	1,081.500	91.500%	989.572
Q2 2029	456.975000	2.704743	1,236.000	91.500%	1,130.940
Q3 2029	456.975000	2.817441	1,287.500	91.500%	1,178.062

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q4 2029	456.975000	3.380929	1,545.000	91.500%	1,413.675
Q1 2030	456.975000	2.941080	1,344.000	91.500%	1,229.760
Q2 2030	456.975000	3.361234	1,536.000	91.500%	1,405.440
Q3 2030	456.975000	3.501286	1,600.000	91.500%	1,464.000
Q4 2030	456.975000	4.201543	1,920.000	91.500%	1,756.800

V3. Licensing, subscriptions and other revenue

Sources: S1/S2 other revenue; S3/S4 licensing discussion. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

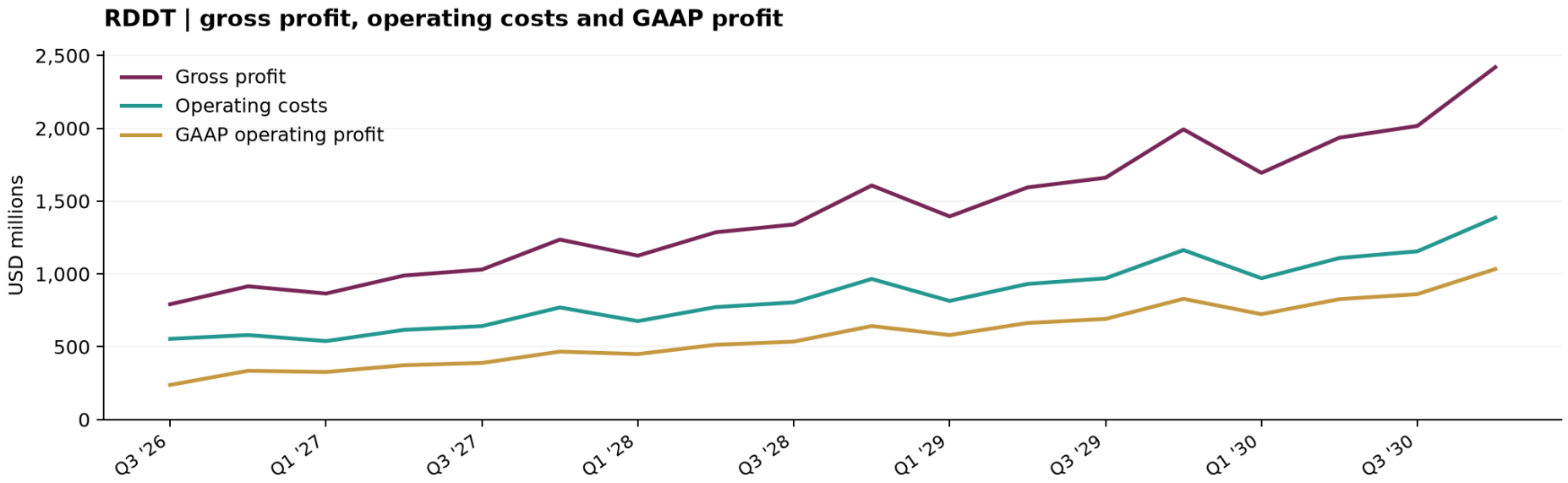
Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	43.280000	1.039741	45.000	95.000%	42.750
Q4 2026	43.280000	1.039741	45.000	95.000%	42.750
Q1 2027	43.280000	1.164510	50.400	95.000%	47.880
Q2 2027	43.280000	1.330869	57.600	95.000%	54.720
Q3 2027	43.280000	1.386322	60.000	95.000%	57.000
Q4 2027	43.280000	1.663586	72.000	95.000%	68.400
Q1 2028	43.280000	1.649723	71.400	95.000%	67.830
Q2 2028	43.280000	1.885397	81.600	95.000%	77.520
Q3 2028	43.280000	1.963956	85.000	95.000%	80.750
Q4 2028	43.280000	2.356747	102.000	95.000%	96.900
Q1 2029	43.280000	2.183457	94.500	95.000%	89.775
Q2 2029	43.280000	2.495379	108.000	95.000%	102.600
Q3 2029	43.280000	2.599353	112.500	95.000%	106.875
Q4 2029	43.280000	3.119224	135.000	95.000%	128.250

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q1 2030	43.280000	2.911275	126.000	95.000%	119.700
Q2 2030	43.280000	3.327172	144.000	95.000%	136.800
Q3 2030	43.280000	3.465804	150.000	95.000%	142.500
Q4 2030	43.280000	4.158965	180.000	95.000%	171.000

7. Operating-cost bridge and quarterly operating model

GAAP operating costs include R&D, sales/marketing, administration, stock compensation and D&A. Q3 cost is derived from the 237.5M GAAP OP calibration rather than repeating the original understated SBC estimate. Q4 opex is 58% of sales; annual 2027-30 ratios are 57%, 55%, 53.5% and 52.5%. R&D versus SG&A is not separately forecast as management supplies no reliable future allocation; both are included once. The resulting GAAP OP margin approaches 39%, below the 50% adjusted EBITDA ambition. Cloud serving cost is in product margins. The 880M AWS commitment over July 2026-June 2029 is a purchase commitment, not all immediate expense or a second subtraction.

Profit basis: GAAP operating profit, including stock compensation and operating depreciation. Amounts below are USD millions.



RDDT | gross profit, operating costs and GAAP profit. All periods are unchanged model forecasts; USD millions unless labeled. Source: the saved RDDT quarterly model and numeric tables directly below. Product splits and outer-year capture remain assumptions, not issuer guidance.

Quarter	Status	Revenue	GP / contribution	Opex %	Opex	OP margin	Operating profit	Main driver	Confidence
Q3 2026	Model	865.000	791.500	64.046%	554.000	27.457%	237.500	Q3 guide and higher SBC	LOW model
Q4 2026	Model	1,000.000	914.775	58.000%	580.000	33.478%	334.775	Holiday advertising season	LOW model
Q1 2027	Model	945.000	865.022	57.000%	538.650	34.537%	326.372	Max onboarding and retention	LOW model
Q2 2027	Model	1,080.000	988.596	57.000%	615.600	34.537%	372.996	Advertiser renewal and conversion	LOW model
Q3 2027	Model	1,125.000	1,029.787	57.000%	641.250	34.537%	388.537	International monetization	LOW model
Q4 2027	Model	1,350.000	1,235.745	57.000%	769.500	34.537%	466.245	Seasonal advertising scale	LOW model
Q1 2028	Model	1,228.500	1,125.002	55.000%	675.675	36.575%	449.327	Search and app engagement	LOW model
Q2 2028	Model	1,404.000	1,285.716	55.000%	772.200	36.575%	513.516	More automated campaign adoption	LOW model
Q3 2028	Model	1,462.500	1,339.288	55.000%	804.375	36.575%	534.913	New formats and advertiser breadth	LOW model
Q4 2028	Model	1,755.000	1,607.145	55.000%	965.250	36.575%	641.895	Retention and operating leverage	LOW model
Q1 2029	Model	1,522.500	1,394.662	53.500%	814.538	38.103%	580.125	International sales coverage	LOW model
Q2 2029	Model	1,740.000	1,593.900	53.500%	930.900	38.103%	663.000	Licensing renewal economics	LOW model

Quarter	Status	Revenue	GP / contribution	Opex %	Opex	OP margin	Operating profit	Main driver	Confidence
Q3 2029	Model	1,812.500	1,660.312	53.500%	969.688	38.103%	690.625	Competition and ad relevance	LOW model
Q4 2029	Model	2,175.000	1,992.375	53.500%	1,163.625	38.103%	828.750	Sustainable customer returns	LOW model
Q1 2030	Model	1,848.000	1,693.440	52.500%	970.200	39.136%	723.240	User contribution and frequency	LOW model
Q2 2030	Model	2,112.000	1,935.360	52.500%	1,108.800	39.136%	826.560	Continued measured growth	LOW model
Q3 2030	Model	2,200.000	2,016.000	52.500%	1,155.000	39.136%	861.000	Cloud and safety costs	LOW model
Q4 2030	Model	2,640.000	2,419.200	52.500%	1,386.000	39.136%	1,033.200	Mature cost leverage	LOW model

OP = sum of product GP/contribution - explicit operating costs. OP margin = OP ÷ revenue. Displayed numbers are rounded for reading; the workbook calculates from unrounded inputs. Guidance assigned to a future quarter retains Model status because guidance is not an actual result.

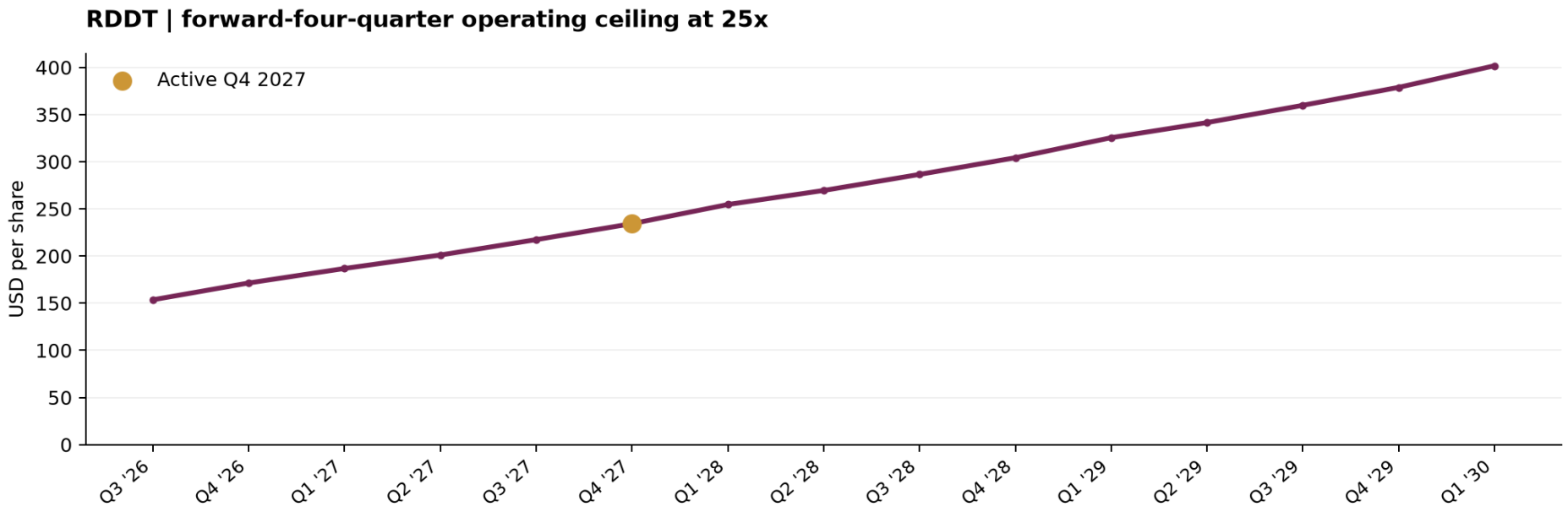
8. Multiple, shares and recognition convention

The owner-authorized multiple is 25x rolling four-quarter GAAP OP. This is an operating-earnings ceiling convention, not a quoted P/E. It does not capitalize interest income or add cash.

Use the Q2 call’s 207.0M fully diluted share measure, rather than 202.029721M weighted-average EPS shares or only 192.321417M issued shares at June end. Add 1% annual net dilution as an explicit forecast. Repurchases can offset grants but an authorization is not an executed buyback, so no automatic decline to 188M shares is assumed. Reserved unissued plan capacity is not all added as issued equity.

The valuation denominator is the ceiling quarter’s diluted-share proxy. It is not a historical EPS weighted-average assumption disguised as a fully known future capitalization. Unit factor: 1; this converts the model units to USD per share. No cash balance, enterprise-value adjustment or after-tax earnings substitution is added to the operating-profit ceiling.

9. Complete rolling four-quarter ceiling derivation



RDDT current modeled ceiling path at the owner-authorized 25x forward-four-quarter operating-profit multiple. Gold marks Q4 2027. Operating forecasts and period-specific shares are unchanged; this is a valuation assumption, not a market-price forecast.

Ceiling quarter	Exact earnings window	Forward 4Q OP	Multiple	Diluted shares M	Ceiling USD	Key inflection
Q3 2026	Q3 2026 → Q2 2027	1,271.642500	25x	207.000000	153.580012	Q3 guide and higher SBC
Q4 2026	Q4 2026 → Q3 2027	1,422.680000	25x	207.515571	171.394368	Holiday advertising season
Q1 2027	Q1 2027 → Q4 2027	1,554.150000	25x	208.032425	186.767760	Max onboarding and retention
Q2 2027	Q2 2027 → Q1 2028	1,677.105000	25x	208.550567	201.042968	Advertiser renewal and conversion
Q3 2027	Q3 2027 → Q2 2028	1,817.625000	25x	209.070000	217.346463	International monetization
Q4 2027	Q4 2027 → Q3 2028	1,964.000000	25x	209.590726	234.266090	Seasonal advertising scale
Q1 2028	Q1 2028 → Q4 2028	2,139.650000	25x	210.112750	254.583551	Search and app engagement
Q2 2028	Q2 2028 → Q1 2029	2,270.448500	25x	210.636073	269.475269	More automated campaign adoption

Ceiling quarter	Exact earnings window	Forward 4Q OP	Multiple	Diluted shares M	Ceiling USD	Key inflection
Q3 2028	Q3 2028 → Q2 2029	2,419.932500	25x	211.160700	286.503656	New formats and advertiser breadth
Q4 2028	Q4 2028 → Q3 2029	2,575.645000	25x	211.686634	304.181345	Retention and operating leverage
Q1 2029	Q1 2029 → Q4 2029	2,762.500000	25x	212.213877	325.438190	International sales coverage
Q2 2029	Q2 2029 → Q1 2030	2,905.615000	25x	212.742434	341.447513	Licensing renewal economics
Q3 2029	Q3 2029 → Q2 2030	3,069.175000	25x	213.272307	359.771862	Competition and ad relevance
Q4 2029	Q4 2029 → Q3 2030	3,239.550000	25x	213.803500	378.799926	Sustainable customer returns
Q1 2030	Q1 2030 → Q4 2030	3,444.000000	25x	214.336016	401.705703	User contribution and frequency

- **Q3 2026:** (237.500000 + 334.775000 + 326.371500 + 372.996000) × 25 × 1 ÷ 207.000000 = **153.580012 USD/share**. Window: Q3 2026-Q2 2027.
- **Q4 2026:** (334.775000 + 326.371500 + 372.996000 + 388.537500) × 25 × 1 ÷ 207.515571 = **171.394368 USD/share**. Window: Q4 2026-Q3 2027.
- **Q1 2027:** (326.371500 + 372.996000 + 388.537500 + 466.245000) × 25 × 1 ÷ 208.032425 = **186.767760 USD/share**. Window: Q1 2027-Q4 2027.
- **Q2 2027:** (372.996000 + 388.537500 + 466.245000 + 449.326500) × 25 × 1 ÷ 208.550567 = **201.042968 USD/share**. Window: Q2 2027-Q1 2028.
- **Q3 2027:** (388.537500 + 466.245000 + 449.326500 + 513.516000) × 25 × 1 ÷ 209.070000 = **217.346463 USD/share**. Window: Q3 2027-Q2 2028.
- **Q4 2027:** (466.245000 + 449.326500 + 513.516000 + 534.912500) × 25 × 1 ÷ 209.590726 = **234.266090 USD/share**. Window: Q4 2027-Q3 2028.
- **Q1 2028:** (449.326500 + 513.516000 + 534.912500 + 641.895000) × 25 × 1 ÷ 210.112750 = **254.583551 USD/share**. Window: Q1 2028-Q4 2028.
- **Q2 2028:** (513.516000 + 534.912500 + 641.895000 + 580.125000) × 25 × 1 ÷ 210.636073 = **269.475269 USD/share**. Window: Q2 2028-Q1 2029.
- **Q3 2028:** (534.912500 + 641.895000 + 580.125000 + 663.000000) × 25 × 1 ÷ 211.160700 = **286.503656 USD/share**. Window: Q3 2028-Q2 2029.
- **Q4 2028:** (641.895000 + 580.125000 + 663.000000 + 690.625000) × 25 × 1 ÷ 211.686634 = **304.181345 USD/share**. Window: Q4 2028-Q3 2029.
- **Q1 2029:** (580.125000 + 663.000000 + 690.625000 + 828.750000) × 25 × 1 ÷ 212.213877 = **325.438190 USD/share**. Window: Q1 2029-Q4 2029.
- **Q2 2029:** (663.000000 + 690.625000 + 828.750000 + 723.240000) × 25 × 1 ÷ 212.742434 = **341.447513 USD/share**. Window: Q2 2029-Q1 2030.
- **Q3 2029:** (690.625000 + 828.750000 + 723.240000 + 826.560000) × 25 × 1 ÷ 213.272307 = **359.771862 USD/share**. Window: Q3 2029-Q2 2030.
- **Q4 2029:** (828.750000 + 723.240000 + 826.560000 + 861.000000) × 25 × 1 ÷ 213.803500 = **378.799926 USD/share**. Window: Q4 2029-Q3 2030.
- **Q1 2030:** (723.240000 + 826.560000 + 861.000000 + 1,033.200000) × 25 × 1 ÷ 214.336016 = **401.705703 USD/share**. Window: Q1 2030-Q4 2030.

10. Annual trajectory cross-check

Calendar year	Revenue	GP / contribution	Opex	OP	OP margin
2027	4,500.000	4,119.150	2,565.000	1,554.150	34.537%
2028	5,850.000	5,357.150	3,217.500	2,139.650	36.575%
2029	7,250.000	6,641.250	3,878.750	2,762.500	38.103%
2030	8,800.000	8,064.000	4,620.000	3,444.000	39.136%

These are calendar-year sums of the quarterly path, not extra revenue and not the live valuation method. For non-December fiscal reporters, fiscal guidance and these calendar totals must be aligned using the period mapping above; a four-quarter run rate is not automatically the same fiscal year. Outer-year outputs are conditional TAM/capture trajectories, not verified management sales targets.

Annual revenue sums are 4,500/5,850/7,250/8,800M for 2027-30. H1 actual 1,468.316M plus modeled H2 865+1,000M gives FY2026 3,333.316M. As an independent unit check, 2030 advertising of 8,200M could require 200M average daily users × $41 annual advertising yield. That is approximately 1.53× Q2 2026 daily users and 1.75× its annualized ad yield; neither factor is a company forecast. This is well below the undated billion-global-user aspiration but still requires sustained execution. Other revenue is 6.8% of 2030 total; failed renewals would directly reduce that vector.

11. Dilution sensitivity - same operating case

Denominator sensitivity	Q4 2027 shares M	Q4 2027 ceiling USD	Effect on ceiling
-5% shares	199.111190	246.595884	+5.26%
+0% shares	209.590726	234.266090	+0.00%
+5% shares	220.070263	223.110562	-4.76%
+10% shares	230.549799	212.969173	-9.09%

This isolates denominator uncertainty; it is not a second bull/bear operating case or permission to remove known dilution. The base case remains the explicit share path in the rolling table.

12. Programme and probability ledger

Programme / signal	Source and probability	Amount / unit base	Treatment in this model	Escalation / recognition
Max general availability	Verified launch; no probability discount to existence	No separate revenue amount announced	Included in performance advertising growth	Track advertiser retention and incremental spend.
Search/shopping advertising	Product roadmap; 60% commercialization judgment	No public incremental contract amount	Included only within advertising vectors	Require measurable conversion and inventory adoption.
AI licensing renewals	Existing relationships; 70% continuity judgment	Future prices and term lengths undisclosed	Other revenue curve assumes gradual growth; no mega-deal added	Signed economics, recognition period and access rights determine revision.
User growth aspiration	Management goal; no dated probability	100M US and 1B global daily users are undated	Not used as a 2030 forecast	Revise only with actual frequency and retention evidence.

Probabilities are analyst judgments under the framework signal hierarchy. Embedded revenue is not multiplied or added a second time. Where no defensible amount or unit base exists, the opportunity remains explicitly unquantified; confidence alone cannot create a revenue number. New evidence can enlarge the TAM, improve capture or move recognition earlier, but each requires an identifiable model input.

13. Scored risk classes

Risk class	Scored deduction	Mechanism and consequence
Search and platform distribution	-1	Referral and ranking changes can reduce acquisition.
Engagement and community quality	-1	Bots, moderation friction and weak retention reduce repeat use and authentic supply.
Advertiser ROI and competition	-1	Meta, Google and other platforms compete for flexible budgets.
Licensing, privacy and legal rights	-1	Renewal prices, usage rights and enforcement are not assured.
Expense and dilution execution	-1	Hiring, marketing, cloud usage and equity compensation can outgrow revenue.

14. Dated catalysts, counters and escalation

1. **Q3 2026 report - GAAP bridge** Compare revenue and EBITDA guidance with actual SBC and GAAP OP.
2. **H2 2026-2027 - Max scaling** General availability must produce active paying advertisers and durable returns.

3. **2027 renewals - Licensing terms** Update prices and recognized revenue only when supportable.
4. **Every quarter - Engagement and dilution** Track direct-use growth, fully diluted shares and cash spent offsetting equity grants.

15. Cross-book monitoring

Google is both an important distribution/licensing relationship and an advertising competitor. Meta competes for performance budgets; Shopify integration is a distribution aid, not ownership of merchant GMV. AI infrastructure growth supports demand for useful data but does not mechanically pass through as Reddit licensing revenue.

16. Source register and model limits

S1 - Q2 results (2026-07-30). Quarterly accounts, outlook and metrics.

S2 - June 2026 Form 10-Q (2026-07-30). Revenue categories, GAAP costs, equity and cloud commitments.

S3 - Q1 management call transcript (2026-04-30). Full displayed prepared remarks and Q&A reviewed; numeric claims checked against issuer accounts.

S4 - Q2 management call transcript (2026-07-30). Full displayed prepared remarks and Q&A reviewed.

S5 - Max campaigns available to all advertisers (2026-09-03). General availability, API, Smartly and asset groups.

S6 - Q1 shareholder letter (2026-04-30). Prior-quarter product and financial reference.

The model retains 25x OP and uses one explicit conditional capture path. The much larger long-term human-data opportunity is acknowledged but is not booked as an unannounced deal. No price target, index-inclusion flow or recent share-price move determines the earnings forecast. The 50% adjusted EBITDA aspiration is not a GAAP OP margin.

Workbook: v3_2_master_portfolio.xlsx, model tab RDDT_Q_Model. It owns portfolio ranking, prices and return calculations; those are intentionally outside this artifact. **Current artifact path:** G:\My Drive\1amInvesting\Artifacts\RDDT_Reddit_DeepDive_Q2_2026.md. **Original snapshot:** versions/originals/RDDT_Reddit_DeepDive_Q2_2026.md. Superseded history is retained separately in VERSION_LOG, not in this current-state model.